SPACE EXPLORATION TECHS CORP SPCX S

July 12, 2026 - 5:04pm EST
by Den1200

			2026	2027
Price:	145.92	EPS	0	0
Shares Out. (in M):	13,160	P/E	0	0
Market Cap (in $M):	1,920K	P/FCF	0	0
Net Debt (in $M):	35,000	EBIT	0	0
TEV (in $M):	1,955K	TEV/EBIT	0	0
Borrow Cost:	Available 0-15% cost			

Description

Thesis Summary

SpaceX priced its June 2026 IPO at roughly 94x trailing revenue and, on its best days, has traded as high as ~130x. Even after a post-IPO drawdown of more than a third from its all-time high, the stock still sits at roughly 100x LTM sales — a multiple that, on the company's own numbers, requires investors to underwrite a level of durable, compounding free cash flow that no aerospace, satellite, or infrastructure business has ever produced.

SpaceX reports three real, revenue-generating segments: Launch, Connectivity (Starlink), and AI (SpaceXAI, formerly xAI). Everything else the company talks about in investor materials — orbital data centers, the Intel "Terafab" tie-up, Mars colonization, asteroid mining — is narrative, not a segment; none of it produces a dollar of revenue today, and we don't think any of it survives basic engineering and unit-economics scrutiny. So the real question is whether the three actual segments justify the price, and we don't think they do. Launch is the weakest of the three once you look past the headline market-share stat: roughly 80% of Falcon 9's manifest is SpaceX launching its own Starlink satellites, so the "80%+ of global launch mass" figure that gets cited to justify the segment's value is substantially SpaceX counting itself as a customer. Strip that out and the arms-length, third-party launch business — the part an outside investor would actually be underwriting — is a fraction of the headline number, and it's about to get squeezed further as Starship (5x+ the payload of Falcon 9) needs 5–10x more tonnage-to-orbit demand than currently exists to keep pace, with Starlink itself nearing saturation as the demand source. Starlink is the only profitable segment and the one segment we'd concede has a real, external market — but its subscriber growth is increasingly a story of adding lower-ARPU international customers, and the blended economics are deteriorating faster than most investors seem to appreciate. AI is currently propping up the growth narrative largely through a related-party compute sale to a direct competitor (Anthropic), not through Grok's own commercial traction. None of the three segments, on a standalone basis, comes close to justifying a $1.9 trillion valuation, and the narrative bolt-ons contribute zero. We see this as a short with multiple, largely uncorrelated ways to work: continued Starlink ARPU erosion, a launch-demand gap as Starship ramps against a manifest that's mostly self-supplied, an AI segment whose real revenue quality is worse than the headline number, and a valuation that has already round-tripped a third of its post-IPO gain in the first month of trading.

A useful frame for the multiple itself: Sun Microsystems CEO Scott McNealy's famous 2002 dot-com post-mortem noted that even at 10x revenue, a company would need to pay out 100% of sales as dividends for ten straight years — with zero cost of goods sold, zero expenses, and zero taxes — just to earn investors back their money in a decade, and that's before asking whether shareholders would tolerate zero R&D for a decade in a business like this. SpaceX just went public at roughly 10x that multiple. We don't think the growth rate of any of its three underlying businesses closes that gap within a normal underwriting horizon.

Business Overview

SpaceX generated $18.67B of revenue in FY2025 (up from an estimated $15–16B in 2024) and posted a GAAP net loss of roughly $4.9B. The company reports three segments — everything else discussed later in this writeup (orbital data centers, Terafab, Mars, asteroid mining) is management narrative layered on top, not a reported or revenue-generating line:

- **Launch —** Falcon 9 and Falcon Heavy dominate global commercial launch (roughly 80%+ of global payload mass to orbit), with Starship in flight testing as the next-generation vehicle.
- **Connectivity (Starlink) —** satellite broadband, now ~61% of total revenue ($11.4B in FY2025, +50% YoY) and the company's only profitable segment.
- **AI (SpaceXAI, formerly xAI) —** acquired via all-stock merger in February 2026 (combined entity valued at $1.25T at signing), operates the Grok models and the Colossus data centers.

Real Segment: Launch — A Captive Business Dressed Up as a Moat

Falcon 9's reusability was a real, legitimate engineering breakthrough — the cost-per-kilogram-to-orbit step-change versus expendable rockets is genuine and SpaceX's cadence is unmatched. But the segment's headline market-share statistic is doing more marketing work than commercial work: roughly 80% of Falcon 9's launch volume is SpaceX launching its own Starlink satellites. The oft-cited "80%+ of global launch mass to orbit" figure is therefore substantially SpaceX selling capacity to itself and then reporting the total as third-party market dominance — the launch equivalent of an auto manufacturer touting record unit sales that are half fleet sales to its own captive rental arm. Strip out the intercompany volume and the arms-length, third-party commercial and government launch business — the part that actually reflects external demand and pricing power — is a fraction of the number being cited to support the segment's value.

This captivity is also the segment's biggest forward risk, not just an accounting quirk. Starship is designed to carry on the order of 5x or more of Falcon 9's ~22-ton LEO payload. If Starlink already accounts for ~80% of Falcon 9's load and is the primary source of demand growth for that load, a mature Starship cadence needs something like 5–10x more total tonnage-to-orbit demand than exists today to avoid flying half-empty — and the obvious source of that incremental demand, more Starlink satellites, is running into the ARPU and saturation issues discussed below. Government and defense launch demand is a genuine, arms-length offset here, but it's a small, slow-growing base relative to the volume Starship needs to fill. We don't think Launch is a bad business — the engineering is real — but we don't think it's the clean, externally-validated moat the market-share statistic implies, and we think that gap gets more visible, not less, as Starship ramps.

Real Segment: Starlink — The Only Profitable Business, and the One With the Most Overlooked Cracks

Starlink is the one segment we'd credit with a real, durable underlying market — rural and underserved broadband globally is a legitimate, large need, and this is genuinely the least-bad part of the SpaceX story. But "least bad" is doing a lot of work here, and we think the market is pricing Starlink as if it's a clean, scaling SaaS-like business when the underlying unit economics tell a more complicated story.

- **ARPU is falling faster than subscriber growth is compounding it away.** Monthly ARPU fell from $86 to $66 between Q1 2025 and Q1 2026

— a 23% decline in a single year — and from $91 in FY2024 to $81 in FY2025 on a full-year basis. Subscribers grew 105% YoY over the same window (5.0M to 10.3M), but management is explicit in its own filings that this is a deliberate strategy, not a temporary dip: they expect ARPU to keep declining for "the next few years" as the mix shifts further into lower-income international markets and cheaper service tiers. Run the current ARPU trajectory out to the 50-million-subscriber bull case and the implied revenue is nowhere close to what the market's multiple requires — U.S. consumer pricing (recently raised $5–10/month) is the high-water mark, not the average, and the average is what's compounding down.

- **The growth is a mix-shift story, not a pure volume story.** Segment detail from the Q1 2026 filing shows consumer subscriber revenue grew nicely on 105% unit growth but was largely offset in ARPU terms, while government connectivity revenue actually declined (-$175M) even as aviation, maritime, and other enterprise revenue grew (+$209M) and mobile connectivity grew (+$85M). Enterprise/government/maritime/aviation ARPU runs well above consumer, so the mix within Starlink matters far more than the headline subscriber count — and the segment that's shrinking (government) is the one with the best margins and the least churn risk.
- **Competition is arriving right as ARPU is already falling.** Amazon's Leo (formerly Project Kuiper) entered enterprise beta in April 2026 with commercial availability targeted for mid-2026, and OneWeb and various Chinese constellations are also scaling. A new, well-capitalized entrant showing up during a period of deliberate price-down strategy is a worse setup than either dynamic alone.

Bottom line on Starlink: it's the one part of SpaceX we think has real operating characteristics — but the market appears to be underwriting subscriber growth as if it were revenue growth, when the company's own disclosures show the two are diverging. That gap is the most measurable, most trackable piece of this short.

Real Segment: AI (SpaceXAI) — The Segment Propping Up the Growth Story

This is where we think the market has been most credulous. SpaceX's S-1 disclosed that Anthropic will pay xAI roughly $1.25B per month (over $40B through May 2029) for the full output of the Colossus 1 data center — a facility xAI itself had described as running at an "embarrassingly low" ~11% utilization on its own workloads before the deal. In other words, a meaningful chunk of the AI segment's revenue is xAI monetizing spare capacity by renting it to a direct competitor in the LLM market, because Grok's own usage has been declining (mobile DAUs reportedly down double digits in a single month around the deal's signing). We'd treat this revenue as low-quality and non-repeating at current pricing — the contract carries a 90-day mutual termination clause, and the AI segment posted a large operating loss in Q1 2026 even with this contract layered in. More broadly, LLM training and inference is now the most capital-intensive, most competitive industry we track: unit compute costs are rising even as several frontier labs cut prices to compete, which is a dynamic more consistent with an eventual industry-wide return on invested capital in the mid-single digits than with the AI-infrastructure multiple SpaceX is being underwritten at.

Narrative Bolt-On: Orbital Data Centers — Physics Says No

Management has floated gigawatt-scale AI data centers in orbit as a growth vector — notable given the industry cannot get terrestrial data centers built fast enough today. The pitch collapses under its own physics:

- advanced-node GPUs and HBM stacks are not designed to survive sustained cosmic and solar radiation without heavy, expensive shielding that undercuts the whole value proposition of putting compute in space.
- a 1GW facility requires several square kilometers of solar array in orbit; nothing at that scale has ever been built, launched, or assembled.
- this is the real killer. Space has no convection, only radiative heat rejection, so dumping the heat a GPU cluster generates requires even more square kilometers of radiator than the solar array needs — and those radiators must be kept out of direct sunlight to work, which is a geometry problem on top of an engineering one.
- terrestrial inter-datacenter bandwidth is already a bottleneck for distributed training; moving that problem to a space-to-ground link does not make it easier.

This looks to us like a Google research tangent that Elon Musk picked up and is now selling as a growth story to public-market investors who are not underwriting the engineering.

Narrative Bolt-On: Terafab — A Good Deal for Intel, Not for SpaceX

The Intel tie-up on advanced-node fabrication (14A) is the one adjacent bet we think makes strategic sense — because SpaceX explicitly cannot build a leading-edge fab itself and needs a partner with the process technology. But Intel's 18A node, the immediate predecessor, is still in early ramp, and 14A is Intel's first high-NA EUV node — by most industry timelines, several years from volume production. On a realistic schedule this is a 2030s project, and the economics of it accrue disproportionately to Intel's foundry business, not to SpaceX's income statement over any horizon relevant to today's valuation. I honestly do not think Terafab will be anything ever. Building leading edge semi is damn hard. I would judge it to be a lot harder than building electric cars or rockets. It is not that Intel is this bad at this business, no this business is this damn hard to execute on.

If Intel gets the engineering correct I believe it will do whatever it can to get away from Space X and if it does not, then it will use the cash Elon can raise.

Narrative Bolt-On: Mars & Asteroid Mining

We don't think a permanent, self-sustaining Mars colony or industrial-scale asteroid mining belong in a valuation model at all, and we'd flag them mainly because management continues to use them in investor-facing narrative. In-situ propellant production on Mars via electrolysis is real chemistry, but solar yield on Mars is a fraction of Earth's, meaning enormous panel arrays are needed just to fuel a return trip — before accounting for radiation shielding, extreme temperature swings, and dust degradation of equipment. Asteroid mining has an even harder problem: near-Earth asteroids pass close only periodically (in some cases decades apart), reentry heating on return to Earth reaches thousands of degrees Celsius, and no one has ever separated a loaded spacecraft from a low-gravity body carrying tons of material. These are multi-decade science projects, not revenue lines, and we'd assign them zero value.

Valuation

SPCX priced at $135/share on June 11, 2026 ($1.75T valuation), opened at $150 and closed its first day at $161.11 (+19%), briefly touching a $2.1T+ market cap. Shares peaked at $225.64 on June 16 before round-tripping over a third of that gain — the stock closed at $145.30 on July 11, essentially back to the IPO price, after a two-day slide following Nasdaq-100 inclusion in early July. At current levels the stock still trades at roughly 100x FY2025 revenue and, on some data provider metrics, over 1,000x EV/EBITDA. We would need Starlink alone to scale to a subscriber base and ARPU combination well beyond anything in the current trajectory, the launch business to find 5–10x more payload demand than it currently has visibility into, and the AI segment to become durably, not just contractually, profitable — simultaneously — to get comfortable with anything resembling the current price.

Catalysts

- Lock-up expiration (December 2026) releases employee and early-investor shares into a stock that is already technically weak and could pressure the price independent of fundamentals.
- Continued ARPU deterioration disclosed in quarterly filings as Starlink's subscriber mix shifts further international.
- Starship cadence and payload data making the launch-demand gap versus Starlink saturation more visible to the market.
- Any renegotiation, non-renewal, or early termination signal on the Anthropic/xAI Colossus compute contract (90-day mutual exit clause).
- Next earnings print, August 6, 2026.

Risks

- Elon telling more fabulous stories. I have wondered when he is deciding to announce Space X will send a rocket to Alpha Centaury. Or maybe he announces he found a formula to create gold. With that dude, who knows what he is willing to lie about. After all we have been promised Level 4 full self driving in 12 months since 2015.
- Extreme retail ownership (~30% of the IPO allocation went to retail) and index inclusion (Nasdaq-100, and likely S&P 500 in time) create a structurally sticky, valuation-insensitive bid and can sustain rich multiples far longer than fundamentals would suggest.

Conclusion

SpaceX is a real company with real engineering, but two of its three reported segments are weaker than their headline numbers suggest: Launch's dominance stat is substantially self-supplied volume from Starlink, and AI's growth is substantially a related-party compute sale to a competitor. Starlink alone is a good, if slowing, business — the one segment we'd credit with genuine, durable, external demand — but even it is showing rapidly deteriorating unit economics beneath the subscriber-growth headline. And do not forget, there is a fair amount of competition coming for Starlink. Layer on orbital data centers, Mars colonization, and asteroid mining, none of which survive basic engineering scrutiny, and we don't see how the combination supports ~100x trailing sales. We'd frame the short less as a bet that SpaceX fails and more as a bet that the multiple mean-reverts meaningfully as the market differentiates between what's genuinely external and durable (Starlink's core connectivity business, government launch) and what's inflated, captive, or narrative..

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Massive valuation bubble

- Employees and investors get to sell in December 2026

Messages

Subject	Grok 4.5 Release
Entry	07/12/2026 06:44 PM
Member	duds25

Thanks for the interesting write-up.

Do you have any thoughts on the Grok 4.5 model that was released over the last week? From SpaceXAI's own public disclosures (also supported by external commentary and independent evaluators), 4.5 seems to perform in the same tier, although still trailing Fable and GPT 5.5 across most categories. Pricing also appears to be attractive relative to a Fable ($2 per million input tokens, $6 per million output tokens, probably in the area of 2-5x cheaper than GPT 5.5 and 5-8x cheaper than Fable).

I understand that the unit economics and long-term profitability of these businesses are certainly up in the air (compute costs rising while prices fall seems to be a plausible outcome) even in a bull case scenario where Grok were to become a major enterprise leader, but thought I would open the discussion on SpaceXAI's enterprise level AI efforts given the timing, as well as how much more cloudy the enterprise AI competitive landscape has become relative to 6 months ago or so.

Subject	Unserious writeup if the goal is to make money
Entry	07/12/2026 11:16 PM
Member	casper719

I think this is one of the best shorts in years but the whole trade is about share structure and supply demand dynamics against the inability for retail narrative/indexes to offset on the timeline (it took tesla over a decade to build the retail capital base). Effectively, you spent 0 time on what matters for the next 6 months.

Subject	Re: Unserious writeup if the goal is to make money
Entry	07/13/2026 04:31 AM
Member	gocanucks97

are we being too harsh on short ideas? At 100x revenue and $2T market cap, anyone seriously think this can squeeze like GME/CAR? borrow cost seems quite reasonable on IB when i checked just now.

If memory serves, last two times large-cap companies at/over 100x rev were PLTR and SNOW. Both worked out just fine, and they were growing MUCH MUCH faster than spacex.

At $200+, it was probably a very safe short. i had no idea whether it had any reasonable borrow then.

Subject	Re: Re: Unserious writeup if the goal is to make money
Entry	07/13/2026 08:18 AM
Member	casper719

I'm mostly a short seller and this is one of my largest shorts. I'm not critiquing the idea, only the framing. It's not so much a great short because of the business at all (obviously it's absurdly overvalued). My point is that the whole short thesis is about the staging of the unlock and the impossibility of the market to asborb the level of selling that will be coming. And the other key that was unclear a few weeks ago is that the borrow/float tightness doesnt seem very bad. We're post index buying and inititations and the stock is struggling. So i think the spot to press is building. Should the borrow tighten it will only be post more selling from shorts.

Mostly shorting these days is all about selling and dilution catalysts. Flows over fundamentals is the post covid area reality of irrational markets. This writeup is inhabiting that delusional framework. Right for the wrong reasons. That's all.

Subject	Re: Re: Unserious writeup if the goal is to make money
Entry	07/13/2026 08:35 AM
Member	katana

"Squeeze like GME/CAR"??? Good lord.

GoCanucks, I would have thought that you, as someone who has been around for all 10 TSLA write-ups and all 5,000 comment board posts about it, might be more open to the idea that shorting a major trader-darling stock of a company that has the most successful entrepreneur CEO in history, an army of A+ engineers, and several different shots on goal at TAMs that will in fact be worth $trillions, is a bad idea. SPCX could definitely end up being worth 10% of its current market cap or 400% of its current market cap. Shorting it is a bet not only that the business won't grow into its market cap, but that the legions of Elon believers, some of whom run 11 figures of capital, and some of whom know more about the details of those shots on goal than every single VIC member, won't push the price higher than today's on their belief while we all wait to find out. The fans have proven that they have patience. The legions of VIC members who were *absolutely sure* in 2019 that TSLA was just a car business and the car business wasn't worth much are still down 2000% on their actual or virtual short, even though ~80% of its market cap *still* depends on autonomous driving success that is *still* not in sight.

Subject	Re: Re: Re: Unserious writeup if the goal is to make money
Entry	07/13/2026 08:56 AM
Member	mtmutombo

I don't have a position in SPCX. But to build on Katana's point:

Musk made a comment the other day about the SPCX potentially being worth more than the entire value of the earth if the company succeeds. So I asked Gemini how much the earth is worth. It turns out an astrophysicist from Yale (Dr. Greg Laughlin) ran this exercise in 2020 and created a formula to value planets based on mass, temperature, age, and the ability to sustain life. Under the Lauglin model, the earth is apparently worth $5 quadrillion. That's $5,000,000,000,000,000.

SPCX is the first mover. If they can get just 1% of the TAM of the earth (/insert stupid VC logic here), that's $50 trillion, or roughly 25x where it trades now. And of course, with such a vast untapped universe of growth (and no competitors... and Musk at the helm), SPCX would trade at a multiple of the TAM it captured. So SPCX could be worth at least $250 trillion or something depending on what multiple people ascribe to it. Which is more than 100x where it trades right now. Why do you want to short a future hundred bagger?

Furthermore, Gemini estimates that total global market capitalization today is around $150 trillion. Based on the irrefutable logic above, SPCX is on track to be worth more than every other public company combined (/insert claim about how this will occur in the next 12 months), rendering all other equities pointless to own.

Remember, none of us is as dumb as all of us. I don't believe any of this, but fortunately no one cares what I think and there are plenty of true believers out there.

Despite the float dynamics mentioned in the comments (which I agree with), we looked at SPCX and concluded it's just easier to short some of the other fake space companies (of which there are many) so we don't have to fight the Musk cult. They're all overvalued and silly, so it's not hard to find good alternatives.

Subject	Re: Re: Re: Re: Unserious writeup if the goal is to make money
Entry	07/13/2026 03:13 PM
Member	katana

Yes!! to mtmutombo's last paragraph. Here's a list of not-SPCX space stocks to get you started: ASTS BSKY FJET FLY LUNR PL RKLB SIDU SPCE YSS. I am or was recently short half of them.

Subject	Re: Unserious writeup if the goal is to make money
Entry	07/13/2026 05:01 PM
Member	WKB319

"I think this is one of the best shorts in years but the whole trade is about share structure and supply demand dynamics against the inability for retail narrative/indexes to offset on the timeline (it took tesla over a decade to build the retail capital base)"

Casper, can you elaborate more specifically on the timeline/key thesis as you see it? Thanks

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Subject	Re: Re: Unserious writeup if the goal is to make money
Entry	07/13/2026 07:53 PM
Member	casper719

I dont think this is that complicated and im not here to give a tutorial on how to short dilution/unlocks/ipos etc. Theres a staggered unlock schedule here thats goign to flood the stock obviously. The only risk to this was that 75B was going to be tight given potnetial retail but clearly retail has too much supply and junk to hold up and has cracked (and there became as katana said a ton of other great space shorts that are all now down 50-65% and many still up a lot from when they started running on the december news).

The concern that the borrow would run out and get tight into the first lockup seems to be pretty low at this point, we're past the index buying and initiations. There's really no more catalysts and everyone who has bought is bagged. The borrow might tighten before Q2 earnings, but should it do so, it would come post more shorting, so that's an issue to address if it comes from a position of profit. People who talk about musk and reference how TSLA has performed are missing that TSLA is over a decade of retail dumping capital stock into the company, even if that were to happen to SPCX it will take a long time and there is a mismatch in timing. GL

Subject	didnt even get the lockup expiry right
Entry	07/14/2026 09:32 AM
Member	ahnuld

Its staggered, it unlocks in tranches with the first big unlock a few days post Q2 earnings.

Seriously, everyone knows its overvalued. So is Tesla. But cmon, at least get the facts right.

Subject	Re: Re: Re: Unserious writeup if the goal is to make money
Entry	07/14/2026 11:31 AM
Member	WKB319

I agree it's not complicated. It's a pretty obvious--i wasn't sure if there was something that was missing since you wrote "Effectively, you spent 0 time on what matters for the next 6 months". Other than the fact that the author got the timing of the lock-up wrong, not sure he spent zero time on what matters.

There is an overvalued stock that is going to disappoint numbers with a wall of selling from the lock-up expiring. That's what I took from his write-up--seems right.

Subject	Re: Re: Re: Re: Unserious writeup if the goal is to make money
Entry	07/14/2026 12:47 PM
Member	casper719

yes high level that was my point. If you're a technical in the weeds short seller like me, it's a bit more nuanced in how to think about it, but for the VIC crowd I think that's basically the end of the story. Implications for TSLA supply/demand is a knock on thing that might be interesting too given the overlap of holders and limited capital. TSLA also seems technically ripe for a significant breakdown having formed a large 1 year consolidation if the tech tape softens (a setup last seen in late 2021). TBD

Subject	Re: Re: Re: Re: Re: Unserious writeup if the goal is to make money
Entry	07/14/2026 01:02 PM
Member	acm2025

Maybe this is off topic for this thread but what does being a "technical in the weeds short seller" entail? Is it just strictly by the numbers in terms of price, lockups, options, etc. or is their an art to it as well? Is there any fundamental analysis of the asset involved? And do you just pay short-term capital gains tax on everything? Thank you!

Subject	Re: Re: Re: Re: Re: Re: Unserious writeup if the goal is to make money
Entry	07/14/2026 03:04 PM
Member	Shoe

There are ECM (equity capital markets) analysts & teams that basically just trade IPOs, secondaries, etc.   there's an art and a science to it like everything else

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Subject	Re: Re: Re: Re: Re: Re: Re: Unserious writeup if the goal is to make money
Entry	07/16/2026 01:58 AM
Member	casper719

I was doing some further research today into the borrow dynamics and it sounds like theres roughly 50m of inventory left in the float right now. With 15 trading days left until earnings, i lean to the borrow starting to get somewhat tight but not extremely uncomfortable but it's going to be a close call (short interest seems to be up about 100m shares in the 14 days of the month so far). Once that big first tranche comes out though imo it's all over so late aug/early sept puts seem to be the sweet spot for timing purposes. I dont think the rate is really the concern given the short timeframe and benchmark should stay reasonable even if spot spikes, the risk is more it could spike into earnings a bit.

Answering your question ACM we take fundamentals seriously. Frankly, running a short book in meme stocks, crypto, fads and unprofitable tech the last couple years, it probably would have been better to not know the fundamentals at all and just buy the breakouts. I always joke that my brain is half broken, and it's been to my detriment.

Most of the names my strategy focuses on are so obviously bad they don't need a lot of deep fundamental work. The real work is bull narrative/news, share structure, cash/burn, shelfs/effect and dilution/selling catalysts, because that's what drives these stocks. Retail rarely sells anymore unless vanna forces it in this tape. Supply is what breaks them.

So the technical process is the catalyst, as a lot of what we run are shorts normal fundamental investors would call suicidal valuation shorts with no catalyst. It's how we manage risk in the squeeze dynamics, which are violent but create maximum tradable range. The best risk metrics and least drawdowns we ran were actually doing Q1 2021 and covid in general (I actually might make a deal with the devil to get one more shot at Q1 2021 at the cost of never being able to trade again afterward). The process is mean reversion fused with momentum in a multi timeframe analysis; exhaustion tells you where a move is spent, momentum tells you when it's actually rolling over or where to cut to fight another day, and with timeframe alignment one can create maximum r/r setups to press.

On taxes, the fund runs mark to market. However a decade of carry sweeps, taxes, rebalancing and needs for cash on taxable money have created net redemptions far in excess of current AUM. As a result, the vast majority of my LP capital is Roth money, so the taxes don't really matter very much anymore for anyone except, unfortunately, myself.

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Unserious writeup if the goal is to make money
Entry	07/16/2026 08:45 AM
Member	S. N. Harper

Totally respect if you don't want to reveal too much about your strat, but this is a genuinely fascinating approach. Is there anything published online/further reading you'd recommend for curious analysts cursed to be professional shortsellers? Would love to learn more, but also totally respect keeping your cards close to your chest.

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Re: Unserious writeup if the goal is to make money
Entry	07/16/2026 11:07 AM
Member	acm2025

Yes, fascinating, thanks a bunch for answering. I will add two more questions...

What is the variance on a strategy like ths relative to market? And what sort of market conditions do you do best in? Just volatility?

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Unserious writeup if the goal is to make money
Entry	07/16/2026 05:47 PM
Member	Shoe

Having traded a lot of meme stocks, I hear you.

I know others who line up borrow for IPOs and short them day 1 or in the first few days.

Another example was shorting AMC theaters (given t hey were going to dilute you like crazy).

MSTR was harder to time, but at some point all the equity issuance was going to come crumbling down.

Same with Avis, at some point either the company

You need a lot of technical analysis + stock borrow/loan dynamic + share flow understanding.

Subject	Easier ways to make a buck?
Entry	07/17/2026 12:15 AM
Member	RogerDorn24

Bias upfront: I don't short.

What do you think the mean outcome was for someone who shorted all of AMC MSTR and CAR? Obviously they were all overvalued and all worked out great in the end..."in the end" doing all the work in that sentence. Bias acknowledged, but I assume that the average investor across that sample got their face ripped off at some point if they were actually short each of those at various points.

Separately, as a guy raised on Chanos, Fooling Some of the People All of the Time, Confidence Game, Den of Thieves; is there a short seller who says short selling was worth it at the end of the day/is still going? This thread is about a $2T mkt cap company. And agree this valuation is insane (though also agree there is *some* small probability of *some* element of success that Katana and such allow for multiplied by insane TAM that always allows for serious option value).

Casper, appreciate all the comments, and this is interesting as an intellectual thought, thank you for taking the time to lay all your thoughts . And not disparaging Den1200, this clearly inspired engagement. And I'm just a two buck chuck, but aren't there easier ways to make a buck?

Subject	Re: didnt even get the lockup expiry right
Entry	07/28/2026 01:06 PM
Member	T0YPAJ182

What's the exit strategy to cover? Cover on the last lock-up day? Hold through lock-up overhang? I know this is Claude output but generally curious.

Quick comment on the lock-up structure because it's all over my timeline and guys are asking to get carried out in a bodybag by staying short through the unlocks in my opinion. Yes, there is DPI pressure from the early vintage funds (Founders Fund, DFJ, etc). There is also rebalancing requirements for others. The counter to all of this is that the selling from the lockup has already been synthetically hitting the tape the past six weeks. The other issue that I think a lot of shorts focused on the lock-up tend to ignore is that SpaceX's tender offers have essentially been a conviction filter. The absurdity of the SPVs showed how easy it was for existing holders to sell in secondary markets pre-IPO. This cap table (eg Valor, Founders Fund, Vy Capital) is also still littered with Elon fan boys drunk on his Kool Aid. Google / SWFs have no urge to blast out day one.

"These are multi-decade science projects, not revenue lines, and we'd assign them zero value." Sorry, do you not live in reality? This company is positioned to be the most strategically important company in history, enabled by its launch business, and you think investors are going to ascribe zero value to the reinvestment from that launch business? Perhaps that sort of valuation approach can be given if we enter a depression. Humans are generally optimistic, maybe not you (or Claude?), but I would say enough market participants that there is always bid that accounts for it.

"SpaceX priced its June 2026 IPO at roughly 94x trailing revenue and, on its best days, has traded as high as ~130x." How am I supposed to take a short thesis on SPCX serious when it is littered with LTM figures? Even underwriting hard decel in Starlink, launch flat, and AI capturing barely more than already-signed contracts + committed Southaven expansion gets you to ~$90bn or ~17x rev. Base case I'm around 10x.

This to me is Facebook, August–November 2012, except better. The ease of hedging / synthetics pull forward the selling pressure from lock-ups and the cap table is more loyal, so I think you have to be willing to get in front of this nasty chart. That was the last time the market let you buy a generational company below its IPO price because everyone was staring at a supply calendar instead of a once-in-a-generation business. It lasted about a quarter. Is this really what you want to be short when Jesus comes back? Short a once in a generation type company trading at 10x 2028 revenue?

Disclosure: I recently just refinanced a mini golf beach property I own to buy more SPCX.

Subject	Re: Re: didnt even get the lockup expiry right
Entry	08/02/2026 11:57 PM
Member	casper719

ACM: variance can be high, but that's mostly a choice about how you run it. The strategy has gotten structurally tougher in two ways, though. Junk/spec is far more correlated than it used to be in the covid/pre covid days where individual names would have such extreme blowouts that they were differentiated from each other; now they all move together. And the borrow market changed after the TLRY episode: rates used to cap out around 100%, then stock loan realized they could jam 500-800%, and that killed the structural alpha of shorting low-float garbage that always came back. The math just stopped working without technical timing.

Conditions wise, I do best when things like the GS most liquid short or non-profitable tech baskets are going down, and it really helps when there's mean reversion. One way moves are tough to calibrate and risk-control even to the downside (march 2025 was rough). You cover too much, you try to long the oversold junk for a bounce, and you never get the re entries. July was my best month since covid and i still ran out of shorts too soon. There’s no manual for it beyond building an edge technical process, share structure mechanics, understanding the games the companies play with offerings and atm’s and how retail behaves so you can profit against them. i live by the reality that in modern markets it's flows over fundamentals and narrative over numbers. As Avon says in The Wire, you might want it to be one way, but it's the other way. my running joke is that my biggest problem the last two years is i see the breakouts in junk (august last year most notably) but my brain is half broken and i can't bring myself to long the garbage enough. i think the generational top in junk was october 2025 (the second mega blowoff leg after the first blowout in junk in dec 2024), and this spring only served to reinflate the tip of the spear themes (nuclear, quantum, drones) to some degree. Now everything (fingers crossed) is backside The caveat that we are clearly near term washed out, maybe a bit like the countertrend june to august 2022 bounce although the analogy to 22 obviously doesn’t hold that well in the way that was already a broad bear market over a longer period. This is one of those times im out of the way and even leaning a little long spec.

Back to SPCX. The borrow is clearly not going to run out, and the stock has broken down, it couldn't bounce in the thurs/fri tape, couldn't even bounce on a starship launch. T0YPAJ18, good luck to you, but note that even your own framework says if everything goes perfectly it's 10x revenues. Furthermore, even if this really is facebook circa 2012 (a strange comp for something roughly 20x the size, but ok you do you), facebook fell about 50% into its lockups and bottomed as the supply cleared. So on your own analogy, SPCX isn't a buy for a few more months at least, somewhere under 75. That's the whole point even a true believer (with half a brain) shouldn't step in front of the unlocks. the game theory says wait for the supply to clear and it also says the august unlocked holders should get out ahead of the next tranches even if they want to keep most of their position. So there's no credible bid here besides retail, indices and institutional moron LARPers like Cathie, and the stock is acting this badly with the float still at 5%. It can't all be front run, $75B of float can't pre distribute the wave that's coming. Where is the exit? I don’t usually figure these things out too much in advance; I let the action and timing play out. I am genuinely surprised how weak SPCX has already been into the unlock and I’ve adapted my thesis a bit as a result to expecting lower downside targets although it’s possible some of the price is just getting done in advance and exacerbated a bit by the very weak spec/momentum tape in the last 6 weeks. I think 60-70 is an easy bet, I’m nearly 100% confident this trades under 80 by year end. The reality is I don’t think theres going to be a lot of risk staying short even if it gets less attractive, it’s just going to be too much float/money to substantially rally even if it stops going down as much at some point. I think the sweet spot for puts is sept/oct 70-80 strikes but I have a collection and im short some dec 2028 deep otm calls bc I’m comfortable underwriting a post unlock 3 trillion valuation here, ill take the under on mars and keep the golf course on planet earth.

Lastly when i mentioned TSLA compressing out of a year long consolidation that could break down like late 2021, I collected a pile of downvotes. That breakdown is now confirmed, and the narrative may be starting to crack. And given all the bulls think these companies are going to merge, it certainly does seem the prices are linked from here. Then again, TSLA is one of those where price creates the narrative, so we'll see.